EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree.

For more than 95 years, since it was separated from its mother town Amulung, the Municipal Government of Baggao has been seated at the Centro or Poblacion. The Poblacion or Centro founded almost a century ago is no longer the center today. Basing on the context of "ripple effect" approach of development, the present site of the Municipal Government of Baggao has already become misplaced and unstrategically located as its pivotal role of or equal government services and opportunities has already waned. The present town site in fact is causing upsurge of factionalism due to the desire of the people to split the municipality into two.

Pursuant to Republic Act 7160, otherwise known as the Local Government Code of 1991, the Municipality, like other local government units, enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national governments' thrust for sustainable social and economic growth.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

Particulars	2020	2019	Increase (Decrease)
Financial Condition			
Total Assets	P859,962,243.58	P690,478,994.64	P169,483,248.94
Total Liabilities	166,257,748.68	115,631,237.76	50,626,510.92
Total Government Equity	693,704,494.90	574,847,756.88	118,856,738.02

Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	425,287,469.81	352,560,617.10	72,726,852.71
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	317,013,611.97	279,516,217.13	37,497,394.84
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	472,331,743.41	387,172,696.99	85,159,046.42
Appropriations-Continuing	168,795,267.46	164,018,100.91	4,777,166.55
Allotments – Current	472,231,743.41	387,172,696.99	85,059,046.42
Allotments –Continuing	168,795,267.46	164,018,100.91	4,777,166.55
Obligations – Current	295,694,791.26	284,943,314.35	10,751,476.91
Obligations –Continuing	69,330,965.96	60,848,184.14	8,482,781.82

	2020	**2019**	**Increase (Decrease)**
Funds Received from Other Agencies			
NGAs	P 116,910,405.31	P 3,138,899.72	P113,771,505.59
LGUs	200,000.00	1,000,000.00	(800,000.00)
NGO/POs	-	-	-
Others	-	376,050.00	(376,050.00)
Tot)al	**P117,110,405.31**	**P4,514,949.72**	**P112,595,455.59**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**P -**	**P -**	**P -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2020 due to the following:

1. The reliability of the balances of Property, Plant and Equipment accounts, with a total carrying value of P390,023,540.07, remained not fully verifiable as to existence, condition and accountability due to non-taking up of the procedures for the "one-time cleansing" of PPE accounts as provided in COA Circular No. 2020-006 dated January 31, 2020, hence, resulted to the following: (a) Property, Plant and Equipment, with a total acquisition cost of P492,663,028.26, were not physically counted; (b) Property, Plant and Equipment, with a total carrying value of P188,191,261.32, have unreconciled balances on their acquisition costs between the Statement of Financial Position and Report on the Physical Count of PPE by P34,573,950.07; (c) Property,

Plant and Equipment, with a total carrying value of P56,235,535.94, have unreconciled balances between the Statement of Financial Position and Report on the PPE Lapsing Schedule by P6,699.967.18; and (d) Small tangible items, with total acquisition cost of P1,850,635.34, were recognized as Property, Plant and Equipment, instead of recording the same as inventory items, which are not in keeping with Sections 266, 322 and 183 of Volume I of the Government Accounting Manual for Local Government Units.

2. The existence and reliability of Accounts Payable account in the Financial Statement amounting to P32,722,374.62 as at December 31, 2020 could not be ascertained due to the non-submission of supporting documents establishing the claims of the creditors of the LGU.

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. **The differences between the actual amounts of income and expenses in the Statement of Comparison of Budget and Actual Amounts and in the Statement of Financial Performance were not accounted for the year ended December 31, 2020 due to the non preparation of the reconciliation between actual amounts on a comparable basis in the Notes to Financial Statements, which is not in accordance with Section 364 of the Government Accounting Manual for LGUs, thus, affect the reliability of the financial statements.**

   We recommended that the Municipal Accountant comply with the preparation of the reconciliation of actual amounts on a comparable basis as presented in the Statement of Comparison of Budget and Actual amounts and in the Statement of Financial Performance for the year ended to provide clarity and understanding on the difference that may be noted between the components of the General Purpose Financial Statements.

2. **Goods, drugs and medicines, supplies, and materials purchased totaling to P38,037,738.78 were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts. Likewise, the procedures and the preparation of the forms and reports on requisition, receipt, recording and issuances of inventory were not strictly observed, which are not in keeping with Sections 183 to 190, Volume I, Government Accounting Manual for Local Government Units. Hence, in the absence of these available controls, the inventories acquired/received may not be sufficiently monitored and safeguarded.**

We recommended that the following be observed:

a. The Municipal Accountant, upon receipt of the AIR and other supporting documents, such as Purchase Orders, Delivery Receipts and/or Supplier's Invoice, draw a Journal Voucher to record the Inventories in the Journal of Procurements Received and in the Inventory Ledger Cards. In case of inventories acquired thru non-change transactions, the Report on Receipt of In-Kind Donations for Inventories shall be the basis for drawing the JV for the recognition of the Inventories in the books of accounts.

b. The Supply Officer/s submit to the Municipal Accountant the monthly Report of Supplies and Materials Issued, together with the supporting RIS, within five (5) days after the end of the month. Thereafter, the Municipal Accountant shall use this as a basis in drawing a JV to record the issuances.

c. The Supply Officer/s and Municipal Accountant strictly comply with the procedures on the preparation and maintenance of the various forms necessary to support, control and monitor the requisition, receipt and issuance of all inventory items, acquired either through procurement or donation.

3. **The unexpended balance of previous LDRRMF transferred to the Special Trust Fund was not incorporated in the Local Disaster Risk Reduction Management Fund Investment Plan as prescribed in COA Circular 2012-002. Thus, the propriety of charges and the disaster risk reduction and management activities supporting the said fund could not be easily ascertained.**

We recommended that the MDRRMC: (a) prepare the LDRRMFIP by adopting the prescribed format in the Annex A of the COA Circular 2012-002; and (b) review and update annually the LDRRMFIP to include activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					

Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the 13 audit recommendations in the 2019 Annual Audit Report, five (5) were implemented, six (6) were partially implemented and two (2) were not implemented and reiterated in Part II of this Report.